SUMMARY · MK 5 DECISION MAKING & NEGOTIATION · WEEK 3

Kepner–Tregoe: SA, PA, DA, PPA

Kepner-Tregoe's four processes: Situation Appraisal, Problem Analysis (IS/IS NOT), Decision Analysis (MUSTs/WANTs/risk) and Potential Problem Analysis, plus root cause tools (iceberg, 5 Whys). Cases: 'Really Bad Day' and your syndicate's Exxon Valdez, Oh Nuts! and Ragin' Cajun Chicken.

Material

1 The four KT processes

SA (what's going on), PA (why — past), DA (which action — present), PPA (what could go wrong — future).

2 KT as a timeline Deep dive

SA — now: sort & prioritise → PA — past: why? → DA — now: choose

→ PPA — future: what could go wrong?

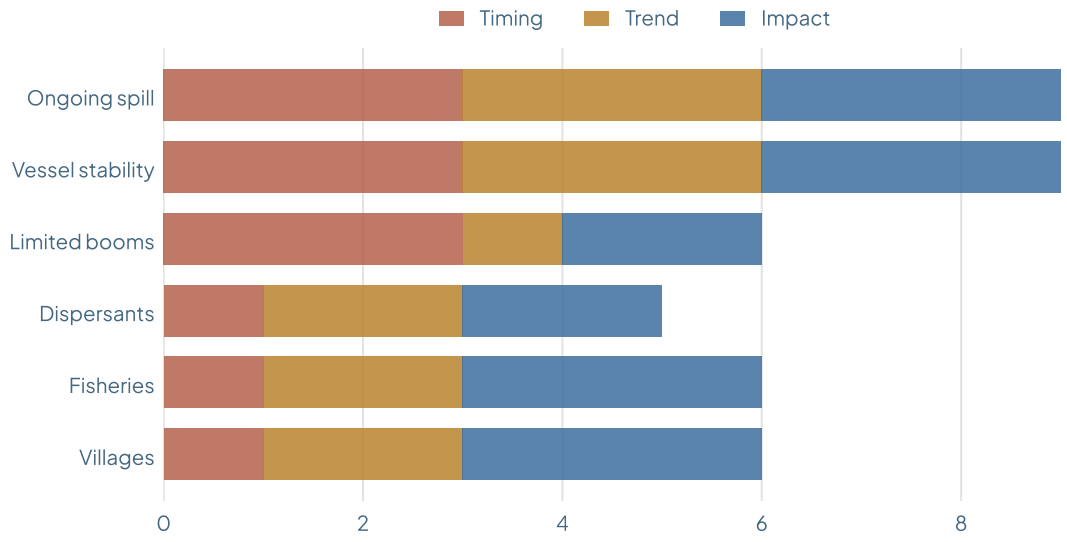
3 Situation Appraisal

List concerns, separate them, rate timing, trend and impact (H/M/L), choose the next process. Really Bad Day: dog (HHH → DA), fire (HHH → DA), car (L/L/M → PA), tornado (DA/PPA).

4 SA priority scores: Exxon Valdez Deep dive

Convert H/M/L to 3/2/1 to see the order.

Timing + Trend + Impact (H=3, M=2, L=1)



5 Problem Analysis: IS / IS NOT and root cause

State the deviation; specify WHAT, WHERE, WHEN, EXTENT as IS vs IS NOT; find distinctions and changes; generate and test causes against all facts; verify the true cause. Solve problems not symptoms (iceberg); 5 Whys drill to an actionable root cause.

6 IS / IS NOT: Oh, Nuts!!! in one table Deep dive

Dimension	IS	IS NOT	Distinction
What	Bolts rust	Other parts	Bolt coating
Where	Houston, Atlanta	Denver, Phoenix	Hot and humid
When	Jun–Aug	Winter	Summer humidity

Extent	Part of a shipment	All; at Detroit	In transit/storage

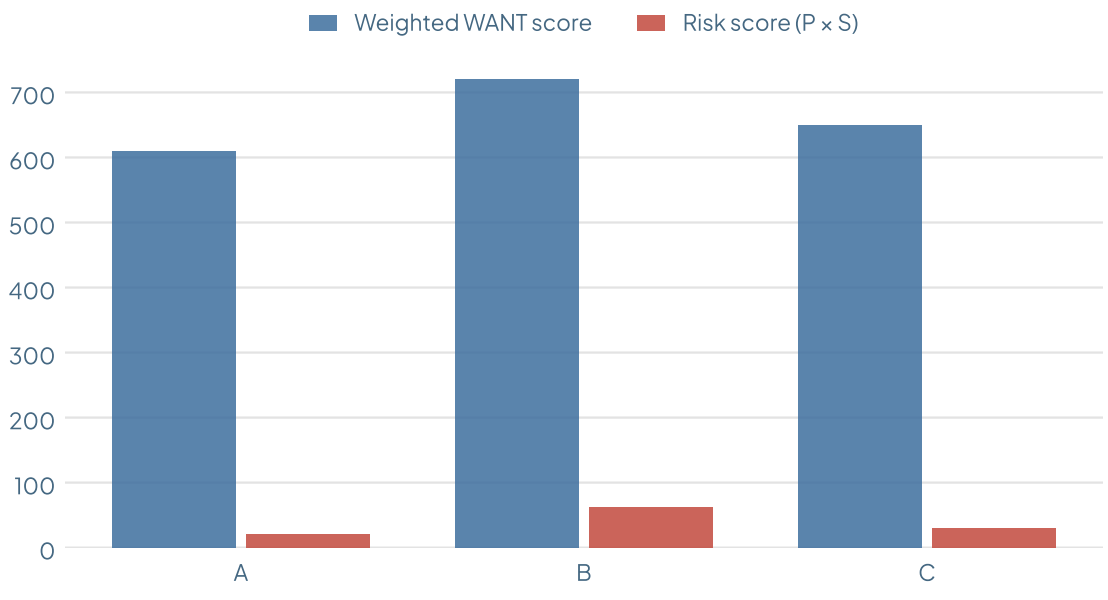
1. Machine stopped: fuse blew.
2. Overload: bearing not lubricated.
3. Pump not pumping enough.
4. Pump shaft worn.
5. No strainer → install one.

7 Decision Analysis and Potential Problem Analysis

DA: decision statement, MUST and weighted WANT objectives, screen alternatives, score and weight, assess risks, choose balance. PPA: identify vulnerable steps, potential problems and causes, preventive actions (reduce likelihood) and contingent actions with triggers (reduce impact).

8 Decision Analysis: MUSTs, WANTs, then risk Deep dive

WANT score vs risk (illustrative)



Best choice with acceptable risk.

Preventive
Lower the probability.

Contingent
Lower the impact, with a trigger.

9 Testing possible causes and building a PPA

The step most often skipped in Problem Analysis is **testing each possible cause against the IS / IS NOT specification**. Example using the Oh, Nuts!!! case (rusted bolts):

Possible cause	Explains WHERE (Houston/Atlanta, not Denver/Phoenix)?	Explains WHEN (June–August, not winter)?	Explains EXTENT (some shipments, not when leaving Detroit)?	Result
Defective bolt coating from the factory	× — would rust in every city	×	× — would be visible in Detroit	Rejected
Leaking warehouse storage	Partly (only if certain warehouses leak)	× — it also rains in other seasons	Possible	Weak
New coating cannot withstand hot, humid air in transit	✓ — Houston & Atlanta are humid, Denver & Phoenix dry	✓ — humid summer	✓ — appears during transit	**Most probable** → verify

The most probable cause must still be **verified** (for example testing bolts in a humid chamber) before acting. Without verification we may fix the wrong thing.

Building a Potential Problem Analysis (PPA) for a plan that has been chosen:

1. Write the plan and its critical steps Steps whose failure makes the whole plan fail.

2. Identify potential problems For each critical step: what could go wrong?

3. Find likely causes Why could that problem happen?

4. Preventive actions Reduce the *probability* that the cause occurs.

5. Contingent actions + trigger Reduce the *impact* if it still happens, and the signal for when to act.

Potential problem (ERP change)	Cause	Prevention	Contingency	Trigger
Customer data lost during migration	Old data format does not match	Test migration on sample data three times	Roll back to the old system from backup	Reconciliation gap > 0.5%
Staff do not use the new system	Too little training, system feels complex	Role-based training, a "champion" in each division	Two weeks of hands-on support	Daily logins < 70% of users

Key takeaways

1. SA prioritises by timing, trend, impact.
2. PA uses IS/IS NOT.
3. DA: MUST screens, WANT weighs, then risk.
4. PPA: preventive, contingent, triggers.
5. Solve root causes.

Case studies

Case & worked answers

Your syndicate's Week 3: Exxon Valdez, Oh Nuts!, Ragin' Cajun

Exxon Valdez: SA priorities (spill, stability, fisheries) and PA showing grounding on Bligh Reef as the direct cause while honestly not over-claiming a root cause; fisheries/village concerns fit DA/PPA better than PA. Oh Nuts!: IS/IS NOT on location, season and timing points to salt-contaminated Acadia paper activated by southern summer humidity. Ragin' Cajun: PPA with preventive and contingent actions; add explicit triggers.

Practice questions

Try answering first. The answer key is below each question.

1. The past-oriented KT process is…

A. SA
B. PA
C. DA
D. PPA

Answer: B. PA explains past deviations.

2. SA's three priority dimensions…

A. Cost, time, quality
B. Timing, trend, impact
C. What, where, when
D. Must, want, risk

Answer: B. Urgency, trend, impact.

3. A true cause in PA must…

A. Be cheapest
B. Explain all IS and IS NOT
C. Be approved
D. Be found first

Answer: B. Test against the specification.

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4. Pre-positioning booms with a trigger is…

A. Preventive
B. Contingent
C. SA
D. PA

Answer: B. Reduces impact.

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5. Your syndicate's honest conclusion on organisational root cause…

A. Certainly the captain
B. Cannot be confirmed from the data
C. Weather
D. Booms

Answer: B. Don't claim beyond evidence.

Sources

- [Student] Revisi Materi Week 3 — Kepner-Tregoe (MK5)
- Kepner & Tregoe, The New Rational Manager
- MK 5 Class E Syndicate 3 Pre Assignment Week 3 (tugas kelompokmu)